Chapter 4
Style Inventory Management Overview

Introduction

The world of commerce can be divided into organisations which provide goods and those which provide services. All of those concerned with the acquisition and supply of goods are required to record, count, manage and account for inventory. It is one of the fundamental needs of all such companies. A system to keep proper control of inventory is a prerequisite for buying decisions, answering customer questions and deciding the production program. Different organisations require different levels of detail and support for Inventory Management decisions, and indeed this might vary within the same organisation. However, the basics of defining items, recording movement, even calculating balances and providing valuations will be common to all such companies.

The Style Inventory Management application provides a wide spectrum of facilities for the recording, valuation and management of inventory. These facilities are the bed-rock on which the interface to the Style product are built. The application may be installed in a simple organisation which views its inventory as a single logical unit, or with equal ease in a multi-warehousing organisation with separate raw material, finished goods and component stores. Multiple stockrooms or stores may be created, with the ability to maintain different stock investment policies in each. This is achieved without data redundancy as the same style definition is used throughout.

Relationships To Other Applications

The Style Inventory Management application is a fully standardised application and as such operates under the control of the System Manager.

There are no pre-requisite applications for this module (apart from the System Manager), moreover this application is a pre-requisite for all the interfaced applications.

Although the application is designed to operate as a fully integrated application of Style, it can be operated in a very simple fashion as a stand-alone system, including facilities to record Sales and Purchase activity as well as providing Inventory recording and control.

Application Configuration

As with all Style applications Inventory Management can be operated for a number of companies, the characteristics of each being maintained on a control file. The application is controlled by setting up data for the company and then for each stockroom within the company. Stockrooms may be added after the initial implementation of the application.

Certain policies may be set up as a default at the company level. These are:

- Costing Method
- General Ledger codes
- Period for usage calculation (week or month)
- Stock Management Policy factors:
- Method of calculation
- Re-order quantity factor
- Stock carrying rate
- Supply order placement cost

These policies and parameters will be used throughout the operation of the application unless overridden at the level of the item or at the time of the transaction.

It is necessary to define each of the stockrooms where stock will be held. Three important policies can be set at this level. First, the stockroom may be excluded from valuation, i.e. for consignment stocks. Second, certain transactions may be excluded from use in the stockroom. Finally a value usage matrix can be created to manage the stock investment policy of the stockroom. Nine value/usage bands may be created and target minimum and maximum weeks of stock defined. In order to calculate average usage, two factors must be defined: (1) the time interval in weeks or months and (2) the periods to be taken into account in the calculation of average usage. The time interval is set on the company record and a number of profiles may be maintained detailing which of the previous sixty time periods (weeks or months) will be included in the calculation.

Maintenance

The maintenance functions of the Style Inventory Management application enable the creation and amendment of master files and data files which are fundamental to its operation. The application will then build the necessary transaction and movement histories as work progresses.

There are a number of common features in the way in which data is maintained, these are:

- The standard style (product) and description search routines
- A standard method of selecting codes from a displayed list

The following data can be maintained:

- Standard Codes and Descriptions
- Style (product) Master Details
- Alternative Products
- Stockroom or Balance Details
- Calendar

Standard Code And Descriptions

A Descriptions or Parameters File is used by Style in most applications for a number of purposes. Primarily, it enables codes to be set up with standard descriptions. This provides for validation at the time of data entry and also the display of descriptions on both screens and reports. In some specific instances a rate is also stored, for example, in the case of the VAT Table. The application has a small number of standard parameters that must be present for its successful operation. The Style Inventory Management Application Descriptions file is the one used by Style applications. The standard parameters held on this file, therefore, include those required by all Style applications.

Style (Product) Data

Style Inventory Management is designed to have a flexible data structure, but without incurring data redundancy. In order to achieve this there is a home Style (Product) Master record which identifies the product to the application and indeed to all applications. This holds the static descriptive and classification data. If more data is required in Inventory or any other application then a record of that information is set up and maintained in the originating application.

The following are examples of the additional data:

Inventory

- Stockroom balance records
- Lot or batch records
- Extended internal and external text
- Alternatives
- Search family codes

Sales Order Processing

- Pricing Details
- Default Size Distribution

Purchase Management

- Item/supplier profiles
- Manufacturing Applications
- Manufacturing profile

Forecasting

- Style Product/Forecast profile

DRP

- Style Product/DRP profile

In this way it can be seen that Style requires the entry and maintenance of only that data necessary to run the operational applications in any company’s system.

The Style Product Master details can be grouped into the Static Part record which includes:

- Description
- Six different Analysis Codes
- Units of Measure - three may be defined for each Style (Product)
- VAT Codes
- Costing method, costs and default General Ledger Codes

- Sourcing Warehouse (Primary Warehouse)
- Supersession details
- Search Families

Stockroom Balance/Warehouse Select

For any Style/Product one or more stockrooms may be defined. A stockroom is a discrete area within a company where stock is recorded and controlled separately from other company stocks. Depending upon the type of company, a stockroom may be used to define divisions, depots, warehouses, stores, an area within a store or even van stock. If such distinctions are not required a single stockroom is created to record the total company stock of the item.

The Static Warehouse information is concerned with:

- Units of Measure at the Stockroom
- Inventory Management Policy and Control
- Balance Data
- Costs
- Preferred Suppliers

The warehouse select allows the user to select more than one warehouse where the style/product may be stored, etc.

Batch Control / Lot Traceability

Batch or Lot tracking is available in style. If warehouse control is required, the Warehousing application should be installed.

Alternative Styles

For any style one or more alternatives may be nominated. When the relationship is created it is possible to state whether or not the relationship is reversed. This facility is used by the Sales Order Processing functions to offer customers alternatives if a style is not currently available.

Calendar Control

The Inventory Management application deals with dates, week endings and period endings, in order to perform reconciliation, usage calculations and information analysis. Both week end dates and period end dates can be maintained for all operational years.

Colour File

This holds the selection of colours which are available across all the styles that are stocked (this can total 100).

Size File

This is a selection of sizes available across all the styles that are to be stocked. The size file is linked to a Size Mask file.

Size Masks

A size mask is a grouping of sizes that apply to a particular style range. Sizes can be included in more that one size mask, if required. Two size masks are used when a four dimensional product is designated a style range.

Cartons

Cartons are a collection of piece items that can be comprised of various colour/sizes/fittings all within the same style code.

What Is Carton Processing?

Carton processing allows a group of items to be processed as a single item. The group is a carton containing a mix of colours and sizes (and fitting, if four dimensional) for a particular style:

Red Small

Red Medium

Red Large

The Carton of Suitcases contains:

5 x Red Small + 3 x Red Medium + 2 x Red Large

If the product style is four dimensional (it has a fitting) this would be dealt with in the same way.

This is of use to companies who import from the Far East where goods are commonly packed in set ratios. The importer commonly wants to despatch these goods without breaking open the carton but needs to know what is inside the carton.

Key Features

- Carton set-up allows the ratio of colours, sizes (and fitting) within a carton to be entered.
- Carton enquiry shows stock in cartons and pieces.
- Carton breakdown may be printed on any external documents where items are involved.
- Sales analysis may be updated with cartons sold or pieces sold.
- Carton stock adjustment allows a carton to be broken open.

Tip: This results in the stock of pieces being increased and the stock of cartons decreased.

Using Cartons

To use carton processing, a carton profile for each company must be defined. This controls the carton function within each company, allowing different companies to use cartons in a way which suits their particular needs.

To set-up cartons, two separate styles must be defined:

- A style to represent the carton, this would typically have colours and may be a size/fitting element that reflected the number of individual pieces within a particular carton.
- A style to represent the pieces within the carton. The pieces would be set-up with colours, sizes (and fitting if required).

Once these two styles have been defined the carton may be built using carton maintenance. Here, a carton is defined in terms of the pieces within the carton.

Processing is at carton level - orders placed for cartons and stock are then held at carton level. If a carton is opened (for example a sample may be required) the carton stock adjustment facility may be used. This will down date the carton stock figure and increase the stock of pieces according to the ratio of pieces in the carton.

The carton breakdown in terms of pieces, is displayed in the carton enquiry and on external documents such as invoices which are sent to customers.

Processing

There are four main processing activities involved in the operation of the Inventory Management application. These are as follows:

- Movement Transactions
- Stock Counting
- Stock Management
- Periodic Processing

The first two functions are concerned with the performance of the stock recording aspects of Inventory, the third is concerned with deciding what stock should be where, and the fourth with building the database to aid management decisions. As the movement transactions are applied to the balances interactively, the displayed balance reflects the latest information in the system. Therefore, supply and despatch decisions can be made in greater confidence. The Inventory application can be installed in isolation. However, if Purchasing, Manufacturing and Sales Systems are installed most of the movements will be performed in these operational systems. The Inventory application will concern itself exclusively with counting, housekeeping and stock management decisions.

Movement Transactions

The primary purpose of an Inventory movement is to record an action within the application and to calculate its effect on the stock balance. In its simplest form a miscellaneous receipt booking straight into Inventory increases the physical stock. However, a Customer Order Issue, will not only reduce the physical stock but it also reduces the balance of the stock allocated to orders.

The following movement types are available:

Customer Order Issue

Miscellaneous Issue

Purchase Order Receipt

Miscellaneous Receipt

Adjustment to Physical Stock

Adjustment to Allocated Stock

Adjustment to Frozen Stock

Transfer Out to Another Stockroom

Transfer In from Another Stockroom

Record Purchase Order

Transfer In and Out (Move from one stockroom to another on a single transaction)

Carton Stock Adjustment

Each movement updates the appropriate balance field on the style/product stockroom balance. If the style is defined as being Batch/Lot or Serial controlled the additional control number must be entered. A subset of the balances are maintained for the lower level record.

Costs may be entered with the movement and depending upon the movement type and the costing method the database will be updated appropriately.

There are four ways of valuing stock movements. These are:

Average Cost

The average cost of stock in the stockroom is recalculated everytime a receipt is made. This average cost is used to value issues. (Receipts are valued at receipt cost).

Standard Cost

The standard cost for the part is either ‘rolled over’ from the manufacturing application or directly maintained. This cost is used to value all movements, both receipts and issues.

FIFO Cost

This is the acronym for **F**irst **I**n **F**irst **O**ut. Each receipt for the Product is maintained as a separate balance and as an issue is made the product is consumed. The first receipt to arrive is the first receipt balance to be used for issues. The cost of the issue is taken from the receipt balance. The FIFO sequence is maintained by time as well as date. If the part is lot controlled then the FIFO operates **within** lot.

Latest Cost

This is when the latest cost of the receipt issued is used to value the stock.

The default or preferred costing method is set on the company control record. However, you can control at the level of the product when it is defined and set a different costing method for that particular item. All costs are kept in up to five decimal places of base currency. The latest cost of all the product is recorded and the average cost calculated whatever the costing method. If, for example, the valuation method is FIFO this can be simply compared with the average and latest cost on an enquiry screen.

For each inventory movement a record is written to a transaction file. This provides a full audit trail of movements. The information held includes:

- Movement type
- Supplier or Customer
- Quantity moved
- Value of the movement
- Resulting stockroom balance
- Batch/Lot number
- Date and Time of movement
- Person responsible
- Terminal used

The movement week and period details are determined from the calendar and period files, and set to either the current or next week/period.

The movement history may be held on the system as long as necessary but not less than one month. This is because it is used to prove the closing balance at the end of the period. It is available for both Enquiry and Reporting to assist investigations into stock inaccuracies and provide the basis of activity analysis.

Stock Counting

The application provides a simple to use stock counting procedure which incorporates cycle counting. This enables the automatic creation of count recommendations. the following steps are involved:

- Count creation - this is done manually by item ranges, or automatically on a time based cycle.
- Review and maintain count recommendations.
- Request printing of Stock Count sheets
- Enter counted Stock figures
- Reconcile Stock Count
- Post adjustments if applicable

Products are selected for stocktake by any of the following options:

- Product Number
- Product Type
- Product Class
- Product Group Major
- Product Group Minor
- Stockroom

The application records the stock level of the selected product(s) at the start of the count. This enables everyday processing of movements to continue while stock is being counted and reconciliation to take place on completion of the count. Stocktake count sheets are then produced to the required detail, i.e. all levels of inventory records are exploded for the selected items. These may be used as input documents to the following processes.

The total quantity of physical stock of each product counted is entered from the stocktake sheets. This data is validated and a report produced.

Until the stocktake is deemed complete, a reconciliation report of physical stock versus computer stock count is available. This would normally be selected by the same parameters as used when requesting the original stock count sheets. The report highlights the differences between physical and computer figures with actual quantities and value variance. This is to help assess the importance of any discrepancy. On completion of the stocktake the application offers the option to generate automatic adjustment of any unresolved discrepancies. Any variances outside the tolerances defined on the stockroom count profile are designated as count errors.

Tip: Once the count sheets have been requested, no stock movements should take place for the selected products until after the physical counts have been entered and reconciled.

To assist in the reconciliation of any discrepancies a report is available giving summary or detail information of stock movements.

Stock Management

The system offers a number of stock management techniques including Material Requirements Planning and Distribution Requirements Planning. The Inventory Management application, even in isolation, can be used to operate an order point stock management policy. The main factors in this policy are:

- Average Usage
- Reorder point and maximum stock
- Reordering rules

Average Usage

The usage of an item is held on the stock history file and is maintained either weekly or monthly according to the usage cycle specified on the company profile record. Average usage is re-calculated during week or month end processing as appropriate.

The usage profile defines which of the preceding weeks or months usage are to be included in the calculation of average usage. The product stockroom balance record holds the code for the usage profile which will be used in the calculation of average usage.

Typically usage profiles will be set up to represent:

- Three months moving average
- Twelve months moving average
- Seasonal moving average (This would be achieved by taking the previous month and the 'next' month last year)

Note: Care is taken to ensure that the average is only calculated from the start of the product's life even though the profile indicated that previous data should be included. This is to ensure that the average is not distorted by the absence of history data.

Reorder Point And Maximum Stock

The parameters of maximum stock, reorder point, reorder quantity and economic order quantity may be maintained for each product in each stockroom. Alternatively, by using the historical usage information, maintained as a result of all movements, the application can calculate these figures. These calculations are based upon grouping products into the categories defined on the stock weeks matrix:

Nine categories are used:

1	Low value	Low usage
2	Low value	Medium usage
3	Low value	High usage
4	Medium value	Low usage
5	Medium value	Medium usage
6	Medium value	High usage
7	High value	Low usage
8	High value	Medium usage
9	High value	High usage

The definition of these groups is held on the stock weeks code matrix which is updated as part of the Company Profile Maintenance procedure.

Limits are set to define the boundaries for high, medium and low usage and value. Minimum and maximum stock holdings, expressed as weeks at average usage, are assigned to each of the nine categories. The minimum stockholding in weeks is the number of weeks stock that will be left after the lead time has expired, and therefore, represents a safety stockholding. Safety stock is a measure of how likely the lead time and average usage are going to increase.

When the procedure to calculate Reorder Point, Maximum stock, etc., is run, the application reads the stockroom records and re-assesses, for allowed products what the reorder point and maximum stock quantities should be.

The application assesses where the product falls on the value axis of the stock weeks matrix based on its cost. It then determines where it falls on the usage axis based on its average usage.

Having assessed which of the nine categories this product falls into, the minimum and maximum stockholding (in weeks) are taken from the matrix and the following calculations performed:

Reorder Point=(Lead Time + Minimum stockholding) $\times$ Average Usage

(Lead time and Minimum stockholding are expressed in weeks)

Maximum Stock=(Lead Time + Maximum stockholding) $\times$ Average Usage

(Lead time and Maximum stockholding are expressed in weeks)

Reorder point and Maximum stock are held on the product stockroom balance record.

Since average usage is used in the calculation procedure, it is best run after the week end or month end processing procedure in which average usage is re-calculated.

The application is also able to calculate an Economic Order Quantity as follows:

$$EOQ = \sqrt{\frac{2 \text{ x } AUY \text{ x } OPC}{\frac{IC \text{ x } SCR}{100}}}$$

where:	EOQ	= Economic Order Quantity
	AUY	= Average Usage Per Year
	OPC	= Order Placement Cost
	IC	= Item Cost
	SCR	= Stock Carrying Rate %

Reordering Rules

The application supports five different reordering policies:

Up To MAX

When expected stock drops below the reorder point the system suggests that an order be placed of sufficient size to take the stock level up to the maximum.

Reorder Quantity

When expected stock drops below the reorder point the application suggests that the reorder quantity be ordered. This quantity is either set by the user or determined by the application. A Reorder Quantity Factor can be held at stockroom level or a default is held on the Company Profile. If the reorder quantity factor was 30%, the application will recommend action to reorder enough stock to last through 30% of the lead time. If the factor was 200% the application will recommend action to reorder enough stock to last through twice the lead time.

Up To ROP

When expected stock drops below the reorder point the application suggests that enough stock should be ordered to take the level up to the reorder point again. For example, if the reorder point was set to zero, this rule is the one that would ensure that goods were only reordered when there is demand for them in the form of a customer or manufacturing order.

Up To Min

When expected stock drops below the reorder point the system suggests that an order be placed of sufficient size, to take the stock held up to the minimum level.

EOQ

When expected stock drops below the reorder point the system suggests that an order be placed for the calculated or maintained economic order quantity.

Available/Expected Stock

These are calculated as follows:

Available Stock=Physical Stock - Frozen Stock - Allocated Stock - Picked stock

Expected Stock=Available Stock + Stock In Transit + Stock On Supply Order - Stock On Back Order

Periodic Processing

Although the Inventory management application is a transaction based system which records events as they happen, many of the decisions concerning stock levels and raising and amending orders are based upon the performance of a product over time. In order to make these decisions it is necessary to be able to view previous periods' activity. This is achieved by maintaining history files, not only of the transactions, but also summarised by type of transaction. These are maintained by running weekly, monthly and year end procedures.

Enquiries

The enquiries in the Inventory Management application allow a multi-layer view of a style / product. These layers are:

- Company stock summarised by stockroom
- Full details of the current balance, usage, and cost at a stockroom
- The breakdown of a stockroom balance into the batches or lots that comprise the stock holding
- The movements that gave rise to the present balance
- The summary of activity for previous periods
- In addition, the reference files are supported by a full range of enquiries.

Reports

The reports produced by Inventory Management can be classified as:

- Status
- Audit
- Valuation
- Movement Analysis
- Action

Status reports are provided on the master files and particularly on the style file. Audits with before and after images are printed on request. These include all changes since the previous print.

Most of the reports are supported by both selection and sequence parameters. This helps to minimise the processing time and the amount of paper required.

Implementation Considerations

It is of vital importance to the success of any software implementation that some fundamental issues of the implementation are considered before any detailed steps are undertaken. In the case of Style Inventory Management these issues are as follows:

- How do you wish to use Style Inventory Management and other Style applications?
- How many Inventory Management companies do you intend to set up?

These issues are usually closely linked, and this section deals with each issue in turn.

Inventory Management Utilisation

A fundamental point to consider here is what functions do you intend Inventory Management to fulfil? Are you intending to use Inventory Management on a stand-alone basis, and to record all stock movements through its own procedures? If this is the case then this obviously simplifies the implementation, as you only need to be concerned with the set up requirements for Inventory Management.

If, however, you are installing other Style applications, then your Inventory Management implementation needs to take into account the requirements of those applications. As Inventory Management is a pre-requisite for all the Distribution and Production applications of the system, you can appreciate the need to consider its use in relation to the other applications.

Where Inventory Management is installed with other business applications it provides:

- The basic database definition of parts/styles, stockrooms and code descriptions
- The central repository for information on stock holding, whether at stockroom or lot level
- The central audit of stock movements and history
- The source of costing information for the valuation of movements and stock holding
- The other Style applications, therefore, use Inventory Management as shown in the following examples:
- Purchase Order Management uses the Inventory part definition; holds ‘on-order’ information as a stockroom balance quantity; and posts movement transactions to Inventory Management for receipts and returns
- Sales Order Processing & Invoicing uses the Inventory style/product definitions; makes use of parameters defined on the descriptions file; holds back order and allocation quantities as stockroom balance fields; and posts movement transactions to Inventory Management for customer issues and returns
- The Production applications use the Inventory basic part/style definitions; hold ‘on-order’ and allocation quantities as stockroom balance files; and post movement transactions to Inventory Management for work order issues and receipts

In a full Style implementation, it can, therefore, be seen that Inventory Management provides both basic data definitions and a transaction repository for a number of other applications. This is, of course, in addition to the functions which are only available within Inventory - i.e. the Stock Management and Stock Taking facilities, and the Stock Adjustment Transactions.

When planning your implementation it is, therefore, important that you consider:

- Which other Style applications do you plan to install?
- What requirements, in terms of data, will these applications look to Inventory Management to fulfil?

- How will the various stock movement requirements of the business be satisfied - by Inventory Management, or by one of the other applications?
- Will any non-Style applications require an interface to Inventory Management?

It is important that these sorts of questions are addressed at the planning stage. Inventory Management has a central role in any implementation, and subsequent changes are, therefore, difficult to make without disrupting the operation of other applications. It is worthwhile spending time early in the implementation to plan your use of Inventory Management and its relationship with other applications.

Inventory Management Companies

Inventory Management, like all other Style applications, allows the simultaneous operation of discrete companies. Multiple companies are used for many reasons, but the major uses are either organisational, or for testing purposes.

A decision to set up multiple Inventory Companies for organisational reasons may very well be taken because you require separate inventories. It is more likely, however, that multiple Inventory Companies are required because you have separate operational organisations. For example, you may require separate selling organisations to be reflected in separate 'Companies' in the Sales Order Processing and Invoicing application. In a standard installation, this would require separate Inventory Management Companies to be created. Inventory Management Companies interface on a one-to-one basis with Companies in Purchase Management, Requisitioning, Sales Order Processing, Sales Analysis, Telesales, Distribution Requirements Planning and the Production applications.

It can, therefore, be seen that any decision about the use of Companies in Inventory Management needs to be taken in terms of the broader implementation.

Basic Data Set Up

Having decided on how you will use Inventory Management in conjunction with other applications and the Companies you will use, you need to plan and implement the setting up of the basic data required for the application's operation. The main elements you will need to create are:

- Company profiles
- Stockrooms
- Stock weeks matrices
- Usage Profiles
- Descriptions
- Style/Products/Colour/Size/Fitting/Size Masks
- Stockroom Details
- Alternatives
- Calendars

The maintenance of these elements is covered in detail in the Application Reference Data section of this manual. It is sufficient here to highlight particular issues to bear in mind when planning the implementation.

Two points which may ease the actual setting up of the data are:

- The use of the Copy Company utility - this is the function which can be used to set up new Companies within Inventory Management. The essential description codes are set up automatically as part of this routine, if a company is created from the company shipped with the application.
- You may choose to convert some of the volume elements, such as parts/style and Stockroom Details, from an existing system. If you have high volumes this is particularly useful and will obviously save a significant amount of data entry time.

Company Profile

The issues you should address prior to setting up company profiles are:

- Which costing method do you intend to adopt as a company standard? (Standard, Latest, Average and FIFO are available)
- How do you intend to make use of the user-defined specifications?
- Do you want average usage calculated on a weekly or monthly basis?
- What is to be your default reorder policy?

Tip: When initially creating the Inventory Management company profile use the Copy Company option from Utilities. This copies the Descriptions Major types and codes. Copy from the Z1 company initially.

Stockrooms And Stock Weeks Matrices

You will need to decide how many stockrooms you require. Remember that these may be physical stockrooms or they may be ‘logical’ stockrooms, for example Quarantine or Written-off stock. For each stockroom you will need to define:

- Whether the stockroom is to be included in stock valuation
- Which transactions are allowed
- If the stock management facilities of the application are to be used, you will need to define the stock weeks matrix for the stockroom. Therefore, you will define the parameters of value and usage for the nine item categories, along with the preferred stock levels for each category

Usage Profiles

The application will automatically calculate average usage based on user-defined profiles. You will need to decide how many of these profiles you need to reflect the different patterns of demand in your business.

Descriptions

The Inventory Management application holds a file of parameter codes and descriptions which is used by itself and other Style applications. These codes cover such elements as product groups, product types, units of measure, reason codes, etc. The major codes, i.e. the subject headings, are set up automatically if you use the copy company utility to create your company data initially. Before any further data set up can take place you need to decide on the codes which you will require for each of these major headings.

Styles/Parts

There are a number of issues to resolve prior to setting up your basic part/style definitions:

- Prior to setting up styles-colours, sizes, fittings, size masks and stockrooms must be set up.
- How are the style/parts to be coded? It is generally recommended that the style/part number should merely be a unique code to identify the style/part - not a meaningful or structured code.
- How will you use the major analysis codes which can be associated with a style/part - product major group, product minor group, product type and product class? These codes are important, as many reports allow selection and sequencing by them.
- What are the valid units of measure that you will require?
- Will any parts be subject to a costing method which is not the company standard?
- Which General Ledger accounts do you wish to associate with product/style for General Ledger updates from within style?
- What level of control do you wish to exercise over individual products/styles? Do you require lot/batch control, or is part/stockroom the lowest level you require?

Stockroom Details

You will need to set up a stockroom details definition for each product/style which you wish to hold in a stockroom. The issues to be decided here are:

- What units do you wish the stock balances and unit costs to be expressed in?
- What are the rules regarding the preferred stock level of this product/style in this stockroom? Are they to be set automatically, or manually? Which re-order policy and usage profile are to be used?
- What is the standard cost?
- Who is your preferred supplier?

Alternative Products

Alternative products are used within the Sales Order Processing & Invoicing application, but are set up and maintained in Inventory Management.

Tip: If you do set up alternatives, it is important to decide whether a relationship is reversible.

Calendars

Immediately prior to processing you will need to set up the current year, period and week details via calendar maintenance. You must also ensure that week and period end dates have been set up for the current year.

Note: It should be noted that before processing begins for a new year you need to ensure that the end dates are set up.

Initial Stock Balance Take On

Once all the basic data has been set up, you are then ready to appoint the initial stock balances prior to processing. This task may be undertaken as part of a conversion from another system, but where this is not the case the following inventory movements can be used:

- Physical Stock - use the Miscellaneous Receipt transaction to set the initial shelf stock
- Allocated Stock - use the Allocation Adjustment transaction to set any existing allocated stock level
- Frozen Stock - use the Frozen Stock Adjustment transaction if you currently have stock which is unavailable for issue
- Purchase Order - use the Record Purchase Order transaction to reflect the current supply situation

It is worthwhile entering these movements with a narrative indicating 'INITIAL SET UP', so that they may be readily identified in future. Making use of a standard procedure for this exercise means that a full audit is maintained in terms of movement records.